

TOOLKIT 2 OF 4

Candidate Transparency Guide

A practical communication framework for HR and talent teams. What to tell candidates about AI in your hiring process, when to tell them, and what is at stake if you do not.

How to use this guide

This guide is for HR directors, talent leads, and anyone responsible for how their organisation communicates with candidates about AI use in hiring. It covers what to say, when to say it, how to say it, and what the legal and reputational stakes are for getting it wrong.

Four steps to get the most from this guide

Step 1. Map your current AI use

List every stage of your hiring process where AI is involved. Include ATS filtering, CV scoring, video interview tools, chatbot pre-screening, and any other automated system that touches a candidate before a human reviews them.

Step 2. Review what you currently communicate

Check what candidates are told about AI at each stage. Look at job postings, application confirmation emails, assessment briefings, and rejection communications. Note the gaps.

Step 3. Use each section to assess and act

Each of the five sections in this guide covers a specific dimension of transparency. Work through them in order or prioritise the area of greatest current gap.

Step 4. Align your team

Transparency is only as strong as its weakest touchpoint. Once you have reviewed your written communications, brief your recruiters and hiring managers so that verbal communications are consistent with what candidates have been told in writing.

Item labels used in this guide

CORE

Core

Must-address for any team. Start here.

DEEPER
DIVE

Deeper Dive

Adds value if you have more time or are further along.

What this guide is not

This is not a legal policy document, a vendor assessment tool, or a governance framework. It is a practical communication guide for HR and talent teams who want to treat candidate transparency as the operational and strategic priority it is.

Transparency is not the whole answer. But opacity is the whole problem.

Six prompts to align your team before you start

Work through these prompts with your HR, talent, and legal colleagues before reviewing the five sections. They surface the gaps most organisations are not aware they have.

- 1 Which stages of our hiring process involve AI, and does the team know?
- 2 What would a candidate read in our job postings about AI use? Is it clear?
- 3 If a candidate asks a recruiter how AI is used in our process, what would they say?
- 4 When we reject a candidate who went through an AI-assisted stage, what do we tell them?
- 5 When did we last review our transparency communications, and was it prompted by a tool change or a complaint?
- 6 Who owns candidate transparency in our organisation? Is it HR, Legal, or no one?

These prompts are not scored. They are designed to surface assumptions and start conversations. Use them in a team meeting before working through the sections individually.

Why transparency matters in AI-enabled hiring

Why this section matters

Most candidates now encounter AI at some point in the hiring process. Many do not know it is happening. The gap between what organisations do and what candidates understand creates a trust deficit that affects application quality, employer brand, and, increasingly, legal exposure. This section establishes the case for transparency as a practical operational decision, not an ethical nicety.

Items to review

- 1** **CORE** **What counts as AI use in hiring**
Any system that screens, ranks, scores, or filters candidates without a human reviewing each decision individually. This includes ATS keyword filters, CV scoring tools, video interview analysis platforms, and chatbot pre-screening.
- 2** **CORE** **The feedback loop organisations create without meaning to**
Candidates who do not understand how they are being assessed reach for AI to protect themselves. Volume rises. Signal quality drops. Organisations add more automation. Trust on both sides erodes further. Transparency is the only mechanism that interrupts this loop.
- 3** **CORE** **The legal direction of travel**
The regulatory environment around AI in hiring is moving in one direction. Transparency, human oversight, and auditability are the consistent requirements emerging across jurisdictions. Section 4 covers the specifics. The point here is simpler: organisations using AI in hiring without communicating it clearly are increasingly exposed.
- 4** **DEEPER DIVE** **What candidates actually want to know**
Survey evidence consistently shows candidates accept AI in hiring. What they object to is opacity. What they want: to know AI is being used, to understand what it is assessing, to know when a human is involved, and to know how to raise a concern. These are answerable questions.

WHAT GOOD LOOKS LIKE

- Organisations can name what AI tools they use and at which stage
- Candidates are told before each AI-assisted stage what the process involves
- Human review is specified, not implied
- There is a clear channel for candidates to ask questions or raise concerns

RED FLAGS AND WEAK PRACTICE

- Vague statements about using technology to improve hiring efficiency
- Transparency buried in privacy policies candidates never read
- No mention of AI until after rejection
- Assuming candidates do not need to know unless they ask

What to communicate and when

Why this section matters

Transparency is not a single disclosure. It is a series of communications across the hiring journey, each timed to give candidates what they need at the point they need it. This section maps what to say, to whom, and at each stage: from job posting through to rejection or offer.

Items to review

- 1** **CORE** **At the job posting stage**

State clearly that AI tools are used in the process. One or two sentences. Do not bury it. Candidates who know from the start can engage appropriately. Candidates who find out after rejection are significantly more likely to share negative feedback publicly.
- 2** **CORE** **At application submission**

Confirm what happens next. If an AI tool will screen or score the application, say so. Include a brief statement on what the tool is assessing and whether a human will review the output before any decision is made.
- 3** **CORE** **Before any AI-assisted assessment stage**

Tell candidates what they are about to do, how it works, and what the organisation will be looking at. For video interview platforms in particular: specify whether facial expression, tone, or language analysis is in use. Candidates should have this information before they proceed.
- 4** **CORE** **At the rejection stage**

If an automated process contributed to the rejection, the candidate should be informed. A brief, accurate statement, not a detailed explanation of the model, satisfies both good practice and, in many jurisdictions, legal requirements. Silence on this point is increasingly a compliance risk.
- 5** **DEEPER DIVE** **On request**

Be prepared to answer questions about AI use from candidates who ask. Have a clear internal position on what can be shared and who handles these queries. Candidates who get a clear, honest answer to a reasonable question are far less likely to escalate or complain.

WHAT GOOD LOOKS LIKE

- Transparency communications are mapped to each stage of the hiring process
- Job postings include a clear statement on AI use
- Pre-assessment communications specify what is being measured
- Rejection notices acknowledge automated involvement where applicable
- A contact route exists for candidate questions about AI use

RED FLAGS AND WEAK PRACTICE

- One-time disclosure that claims to cover the whole process
- Assessment stages proceed without any briefing to the candidate
- Rejections contain no reference to how decisions were made
- Candidate questions about AI are handled inconsistently or deflected

How to communicate it

Why this section matters

The tone and format of transparency communication matters as much as the content. Language that sounds defensive, overly legal, or evasive signals that the organisation has something to hide. Language that is clear, specific, and direct builds the trust it is designed to create. This section covers how to write and deliver transparency communications that actually work.

Items to review

- 1** **CORE** **Plain language, not legal language**

Transparency communications written in legal register signal risk management, not honest communication. Write in plain English. Use short sentences. Explain what the tool does, not how the organisation has discharged its obligations. The goal is a candidate who actually understands what they are entering into.
- 2** **CORE** **Specific, not vague**

Saying we use technology to help us review applications is not transparency. Saying we use an AI screening tool that reviews CVs against the requirements in the job description before a recruiter sees shortlisted candidates is. Specificity signals confidence. Vagueness signals that you are not sure you want the candidate to know.
- 3** **CORE** **Proportionate to the stage**

A one-paragraph disclosure at application stage. A brief oral or written briefing before a video interview. A sentence in a rejection notice. Each communication should be proportionate to what is happening at that stage. Transparency does not mean a four-page AI governance statement at every touchpoint.
- 4** **DEEPER DIVE** **Accessible across channels**

If your process is partly digital and partly human-led, transparency communications need to reach candidates through both. An online disclosure that never reaches phone or in-person applicants is not a transparency framework. It is a digital paper trail.
- 5** **DEEPER DIVE** **Consistent across the team**

Recruiters and hiring managers who handle candidate questions differently undermine written disclosures. Agree a shared position on what can be communicated and by whom. Inconsistency creates legal risk and damages the employer brand more than silence would.

WHAT GOOD LOOKS LIKE

- Communications use plain, direct language with no legal padding
- Specific tools and stages are named rather than described generically
- Format and length are proportionate to the stage in the process
- All candidate-facing team members are aligned on the same messaging
- Accessibility has been considered across all candidate entry points

RED FLAGS AND WEAK PRACTICE

- Disclosures written primarily for legal protection rather than candidate understanding
- Generic language about technology or innovation with no specifics
- Written disclosures exist but verbal communications contradict them
- Transparency materials are not reviewed when AI tools are updated or changed

The legal and regulatory context

Why this section matters

AI transparency in hiring is no longer a voluntary best practice in many markets. This section maps the current regulatory landscape so organisations can identify where obligations sit and which are most immediately relevant to their operations. It is not exhaustive and does not constitute legal advice. Relevance depends on where you hire and which tools you use. Legal review of your specific setup is still required.

Items to review

1 **CORE** EU AI Act

The EU AI Act entered force on 1 August 2024. High-risk obligations, including those covering employment and recruitment tools, apply from 2 August 2026. AI tools used in recruitment are classified as high-risk systems. Obligations include transparency to candidates, meaningful human oversight, technical documentation, and bias monitoring. Applies to organisations operating in or deploying tools to EU candidate markets. Legal review of specific obligations is recommended.

2 **CORE** UK ICO guidance

The ICO has audited AI recruitment tool providers and published guidance on lawful data processing, transparency about automated decision-making, and candidates' rights to meaningful information. The UK framework is distinct from the EU AI Act. Check ico.org.uk for current guidance relevant to your setup.

3 **CORE** NYC Local Law 144

Requires employers and employment agencies using automated employment decision tools to conduct annual bias audits and publish results. New York State has found enforcement has been inconsistent. Relevant for organisations hiring into New York roles. Requirements are subject to change.

4 **DEEPER DIVE** US EEOC: Title VII and employer liability

The EEOC withdrew its May 2023 AI and algorithmic fairness guidance in January 2025. Title VII of the Civil Rights Act still applies. Employers remain responsible for discriminatory outcomes from AI hiring tools, even where the tool was built by a third party. Several cases from 2023 onwards have proceeded on this basis. Employers should not assume vendor compliance removes their own exposure.

5 **DEEPER DIVE** Illinois AI Video Interview Act

Requires employers to obtain explicit written consent from candidates before using AI to analyse characteristics in video interviews. Amended in 2026 to strengthen consent requirements and expand employer obligations. Similar laws are emerging in other US states. Organisations using video interview AI should monitor state-level requirements in their hiring markets.

WHAT GOOD LOOKS LIKE

- Organisation has identified which regulations apply based on operating markets
- Transparency obligations are mapped to each AI tool in use
- Legal and HR teams have jointly reviewed the current AI hiring setup
- A process exists for monitoring regulatory changes and updating practices

RED FLAGS AND WEAK PRACTICE

- No one in the organisation owns the AI regulatory compliance question
- Tools were bought without reviewing the vendor's stated compliance obligations
- Transparency materials have not been reviewed since the tools were first deployed
- The organisation assumes the vendor is handling compliance on its behalf

The reputational stakes

Why this section matters

The legal case for transparency is clear. The reputational case is equally compelling and often more immediately felt. This section sets out what is at risk when transparency is absent, and what organisations stand to gain by treating it as a strategic commitment rather than a compliance checkbox.

Items to review

- 1

CORE

Candidate experience as employer brand

Candidates talk. They share experiences on Glassdoor, LinkedIn, Reddit, and in professional networks. A hiring process that felt opaque, automated, and unexplained is increasingly a reputational event. In competitive talent markets, the organisations that explain themselves clearly are differentiated, not just compliant.
- 2

CORE

Offer acceptance and candidate behaviour

Evidence from candidate experience research points consistently to the same finding: candidates who feel fairly treated through a process are more likely to accept offers, refer others, and maintain a positive view of the brand. Unexplained automated rejection is one of the strongest negative signals a candidate can receive.
- 3

CORE

Drop-out rates in AI-led processes

Survey data from Greenhouse and Enhancv (2025 to 2026) indicates that between 30 and 38 percent of candidates abandon hiring processes when AI-led elements are not explained or feel dehumanising. For roles where candidate experience affects quality of hire, this is a direct pipeline problem.
- 4

DEEPER DIVE

The trust gap is widening

The majority of candidates now expect AI to be present in hiring. What they do not expect is silence about it. Organisations that communicate clearly about AI use tend to outperform those that do not on candidate satisfaction, even where the underlying process is identical.
- 5

DEEPER DIVE

What good looks like in practice

Organisations leading on this are not producing lengthy AI ethics manifestos. They are adding a paragraph to job postings, briefing candidates before AI-assisted stages, training recruiters to answer questions consistently, and reviewing their transparency materials when tools change. That is the whole of it.

WHAT GOOD LOOKS LIKE

- Candidate-facing AI communications are treated as employer brand, not just legal coverage
- Recruiter and hiring manager training covers how to discuss AI use with candidates
- Transparency materials are updated when AI tools are added, changed, or removed
- Exit survey and review site data is monitored for signals about process opacity

RED FLAGS AND WEAK PRACTICE

- Transparency is treated purely as a legal compliance exercise
- Recruiters are not briefed on what to say when candidates ask about AI
- No feedback loop exists between candidate experience data and transparency practices
- Employer brand and legal teams work in silos on this question

Review your current practice across eight touchpoints

Use this sheet to map where your organisation currently stands on candidate transparency. Work through each touchpoint and note the current state, the gap, and the action needed. There is no weighting: every touchpoint matters.

Touchpoint	What to assess	Current state	Action needed
Job posting disclosure	Is AI use mentioned? Is it specific? Is it in plain language?		
Application confirmation	Does it explain what happens next, including any AI screening?		
Pre-assessment briefing	Are candidates told what the AI tool measures before they start?		
Rejection notice	Is automated involvement acknowledged where it contributed to the decision?		
Candidate query handling	Is there a named process? Are recruiters aligned on messaging?		
Regulatory mapping	Has the organisation identified which regulations apply to its hiring?		
Tool change process	Is there a process to update transparency materials when tools change?		
Team alignment	Have recruiters and hiring managers been briefed on AI comms?		

Review this sheet quarterly or whenever an AI hiring tool is added, updated, or removed from your process.

Final notes

What this guide is and is not

This guide is a practical communication and transparency framework. It is designed to help HR and talent teams communicate clearly and credibly with candidates about AI use in hiring. It is not a legal policy, not a governance framework, and not a vendor assessment tool.

Part of the AI Hiring Toolkit

The regulatory landscape covered in Section 4 reflects the position as of May 2026. Regulations in this area are moving quickly, particularly across US states. This guide should be reviewed and updated as new requirements come into force in markets relevant to your organisation.

This is Toolkit 2 of 4 in the AI Hiring Toolkit series, published by AI Evolving You. The full series covers responsible procurement, candidate transparency, bias and fairness, and governance and accountability.

Transparency does not require organisations to explain everything. It requires them to explain enough. The difference between the two is usually one clear paragraph.

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